

Demotion Letter Templates

Ten letters for performance, conduct, restructure, voluntary, red-circled, manager to IC, temporary, probation, reduced hours and appeal

Performance-based demotion

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], This letter confirms the decision discussed on [date] to change your role from [current title] to [new title], effective [date]. The change follows the performance process begun on [date], including [warning / performance improvement plan], in which the standard of [specific] was not met. In the new role you will report to [manager], your responsibilities will be [summary], and your pay will be \$[X] per [period] from the effective date. [Benefits unchanged.] We believe you can succeed in this role and [support offered]. You may respond in writing within [5] working days.

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Demotion for conduct

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], Following the investigation into [matter] and the meeting on [date], the decision is to change your role from [title] to [title] with effect from [date], as an alternative to termination. The reasons are set out in the investigation outcome dated [date]. [New role, manager, pay, effective date.] A further breach of [policy] will result in termination. You may appeal this decision in writing to [name] within [5] working days.

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Demotion in a restructure

Employee	
Current title	

New title	
Effective date	
New pay	
New manager	

Dear [Name], As part of the restructure of [department] announced on [date], the position of [title] no longer exists. We are pleased to offer you the position of [new title], reporting to [manager], effective [date]. This change is not related to your performance. Your pay will be [maintained at \$X for [12 months] / \$X from the effective date]. [Benefits, service, other terms.] Please confirm your acceptance by [date]; if you prefer not to accept, [redundancy terms] apply.

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Voluntary demotion at the employee's request

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], Thank you for your request dated [date] to move from [title] to [title] for [reason stated by employee, e.g. personal circumstances]. We are glad to accommodate this. Effective [date] you will hold the position of [new title], reporting to [manager], at a salary of \$[X]. [Service, benefits unchanged.] If your circumstances change, we would welcome a conversation about returning to a role at your previous level.

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Demotion with pay unchanged (red-circled)

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], This confirms your change of role from [title] to [title] effective [date]. Your current salary of \$[X] will be maintained (red-circled) until [date / the salary range for the new role catches up], after which [terms]. [Reason, manager, responsibilities.]

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Demotion from management to individual contributor

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], Following our discussions on [dates], this letter confirms your move from [manager title] to [individual contributor title] effective [date], reporting to [manager]. Your management responsibilities for [team] will transfer to [name] on [date]; please complete handover of [items] by then. [Pay, benefits.] Your expertise in [area] remains central to [team], and we expect this change to allow you to focus on it.

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Temporary demotion

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], This letter confirms the temporary change of your role from [title] to [title] for the period [start] to [end], for the reason discussed on [date]: [reason]. During this period you will report to [manager] and your pay will be [unchanged / \$X]. On [end date] you will return to [title] unless otherwise agreed in writing, subject to [condition, if any].

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Demotion at the end of a probation in a promoted role

Employee	
Current title	
New title	
Effective date	

New pay	
New manager	

Dear [Name], Your promotion to [title] on [date] was subject to a [6-month] review. Following the review on [date], we have decided that you will return to your previous role of [title] effective [date], at your previous salary of \$[X]. This is not a disciplinary decision. [Reasons, developmental.] [Manager] will work with you on [development plan].

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Demotion with reduced hours

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], This confirms the change to your role from [title, full-time] to [title, N hours per week] effective [date], as agreed on [date]. Your pay will be \$[X] per [period], pro-rated, and your benefits will be [as per policy for part-time staff]. [Service unchanged.]

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____

Acknowledgement of demotion appeal outcome

Employee	
Current title	
New title	
Effective date	
New pay	
New manager	

Dear [Name], Thank you for your appeal dated [date] against the decision to change your role. [Name] reviewed the decision and the material you provided and met you on [date]. The outcome is that the decision is [upheld / overturned / varied as follows]. The reasons are: [reasons]. [Next steps.] This concludes the internal process.

For the Company: _____ Date: _____

Employee acknowledgement (receipt): _____ Date: _____